P.P.E

تشترى بغرض الاستخدام لا التجاره، نستخدم العمر طويل

① aquisition: cost → ② using: Dep, imp → ③ disposition: profit, Gains, loss

assets, liab, o.E (B. sheet) — Rev, exp (incomes)

Dr

assets, exp, with ↑Dr ↓Cr — Rev ↑Cr

- كل تكلفه لازمه قبل الاستخدام الاول بدون التكلفه الناتجه عن اهمال او غرامات او تكاليف غير ضروريه.

لو في تحسينات غير معروف عمرها تحسب تكلفتها مع التكلفه الاجماليه. لو معروف عمرها الانضاف لل cost و بكون لها Dep. exp

lump sum purchase:

	Bv	F.V
land	50 m	30 m
Building	10 m	15 m
equipment	40 m	5 m
	100 m	50 m

$\frac{30}{50}$ 60%

$\frac{15}{50}$ 30%

$\frac{5}{50}$ 10%

100 m

سعر اشتري به بعدها فاصل 20 m

20 m → 60% 12m, 30% 6m, 10% 2m

20 m

↓Cash	20 m
land	12 m
Build	6 m
equip	2 m

exchange of non monetary assets:

has a commercial substance

Gain ⊕
loss ⊖
«will recognize»

lack a commercial substance

Loss
all loss will Recognize

paid cash
no Gains will recognize

Gain
collect cash
partial recognition

* Gains / loss = M.V - B.V (cost - acc.dep)

بتاع الـ old

⇒ if has a commercial substance.

* Cost = M.V new
= M.V old Collection
= old + Payment

	Dr	Cr
ACC.dep	XX	
new asset	XX	
old assets (cost)		XX
Gains at sell		XX
cash		XX

⇒ if lack a commercial substance. «Loss»

* Cost = M.V new
= M.V old - Collection
= M.V old + Payment

	Dr	Cr
acc.dep	XX	
new assets	XX	
cash	XX	
Loss	XX	
old asset		XX

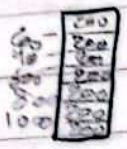
Dep.exp 20
Acc.dep

Depreciation + impairment.

Depreciation methods

straight line method

$$\frac{\text{Cost} - \text{S.V}}{\text{life}}$$



activity method

$$\frac{\text{Cost} - \text{S.V}}{\text{activity}} = \text{Rate}$$

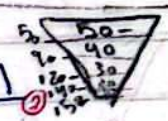
Rate × actual activity

sum of Years digits

No of years

$$\frac{N \times (N+1)}{2}$$

$\frac{5}{15} + \frac{4}{15} + \frac{3}{15} + \frac{2}{15} + \frac{1}{15}$



Dep.v = Cost − S.V

$\text{Costs.v} \times \frac{\text{year}}{\text{S.Y.D}}$

Doubled line method

- cost subsequedent + aquesition + imparment:

* any exp that improve quality or quantity it must be cabitalized → تضاف على تكلفة الأصل
* any exp that increase useful life must be cabitalized → خصم من ال acc. dep → book value تزيد

* Future cash flow / n.P.V
  - BV < F.C.F → noimperment
  - BV > F.C.F → imperment (↑ loss, ↑ acc dep)

مبستخدمش ال Future cash flow لحساب الخسارة بعرف منها في impement ولا مش